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HARDWARE



Kleiner Perkins-backed Ambiq pops on IPO debut

Marina Temkin — 6:00 PM PDT · July 30, 2025

Ambiq Micro, a 15-year-old manufacturer of energy-efficient chips for wearable and medical devices, closed its first day of trading on Wednesday at \$38.53 a share, a 61% increase from the \$24 IPO price the company set the previous day.

The success of the IPO signals strong investor demand in the public market for new small-cap companies benefiting from AI innovation.

Ambiq closed its first day as a public company with a valuation of \$656 million (excluding employee options). This represents a significant increase from its last private funding valuation of \$450 million in 2023, according to PitchBook.

The company has pitched itself as well-positioned to capitalize on the growth driven by AI. “Because we’re so low energy, we can put more intelligence and more AI on board” of edge processors, the company’s CTO Scott Hanson told TechCrunch.

For the three months that ended March 31, Ambiq posted a net loss of \$8.3 million against revenues of \$15.7 million, the company’s [S1 filing shows](#). The Q1 results mark a slight improvement from the first quarter of 2024, when the company reported a \$9.8 million loss on \$15.2 million in revenue.

Kleiner Perkins and EDB Investments, a Singaporean state-backed entity, are the largest outside backers of Ambiq, according to the filing.

Wen Hsieh, who was a general partner at Kleiner Perkins until 2023, first backed Ambiq when the company raised its Series C in 2014. Hsieh also invested in Ambiq after he launched his own venture firm, [Matter Venture Partners](#), two years ago.



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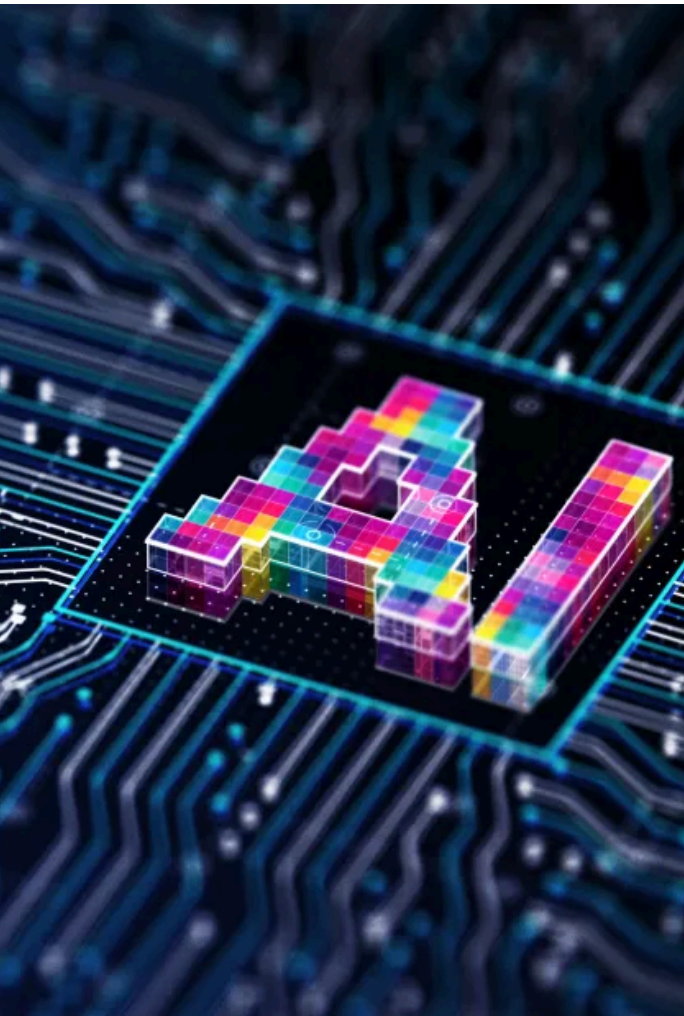


IMAGE CREDITS: BLACKJACK3D / GETTY IMAGES

AI

Two arrested for smuggling AI chips to China — Nvidia says no to kill switches

Rebecca Szkutak — 6:02 AM PDT · August 6, 2025

The U.S. Department of Justice (DOJ) [said](#) on Tuesday that two Chinese nationals have been arrested for their alleged involvement in illegally shipping tens of millions of dollars’ worth of high-performance AI chips to China.

The DOJ said Chuan Geng and Shiwei Yang were arrested in California on August 2 and charged with violating the Export Control Reform Act, a felony that carries a statutory penalty of a maximum of 20 years in prison.

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Geng and Yang are accused of knowing and willfully shipping “sensitive technologies,” including GPUs, to China from the U.S. through their California-based company, ALX Solutions.

The DOJ did not name the company whose chips ALX Solutions was allegedly smuggling, but quoting a complaint, it said the chip is “the most powerful chip in the market” and is “designed specifically for AI applications.” That description makes it likely that the chips being smuggled were made by Nvidia. A [report by Reuters](#) specifically named Nvidia’s H100 GPUs as the chips being shipped.

A review of export documents by the DOJ found that ALX Solutions sent chips and other tech to shipping and freight-forwarding companies in Singapore and Malaysia, but received payments from entities in Hong Kong and China in return. The department also found records of communication regarding shipping the tech to Malaysia to specifically go around U.S. export restrictions.

“This case demonstrates that smuggling is a nonstarter,” an Nvidia spokesperson said in a statement. “We primarily sell our products to well-known partners, including OEMs, who help us ensure that all sales comply with U.S. export control rules. Even relatively small exporters and shipments are subject to thorough review and scrutiny, and any diverted products would have no service, support, or updates.”

The news comes as the U.S. tries to figure out how to strike a balance between fostering global AI innovation and imposing export restrictions to China, which many in the West perceive to be a major threat in the AI race. The Trump administration’s recently announced [AI Action Plan](#) belabored the importance of having strong export restrictions but was light on details.



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One potential solution to curb chip smuggling that has been suggested by the U.S. government in recent days is to [implement tracking technology into chips](#) to help catch smuggling, but chipmakers are quite opposed to such a move.

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In a [blog post on Tuesday](#), Nvidia said its GPUs do not include kill switches or backdoors, and argued that building in such tools would only result in compromising security.

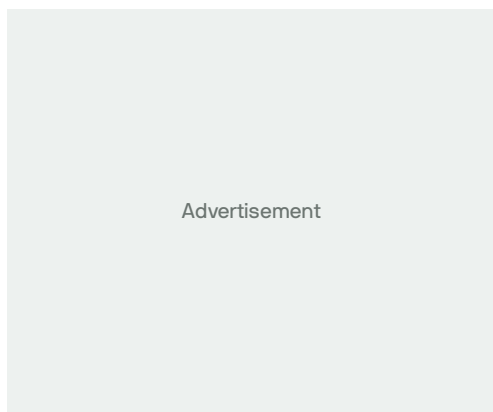
“Nvidia has been designing processors for over 30 years. Embedding backdoors and kill switches into chips would be a gift to hackers and hostile actors,” the company wrote. “It would undermine global digital infrastructure and fracture trust in U.S. technology. Established law wisely requires companies to fix vulnerabilities — not create them.”

“That’s not sound policy. It’s an overreaction that would irreparably harm America’s economic and national security interests,” Nvidia wrote.

Nvidia did not immediately return requests for additional comment.

For more on the semiconductor industry’s tumultuous year so far, here’s a [regularly updated timeline](#) of market news since the beginning of 2025.

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Rebecca Szkutak

Senior Reporter, Venture | [in](#)

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the same beat for Forbes and the Venture Capital...

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High costs and thin margins threatening AI coding startups

Marina Temkin · 2:05 PM PDT · August 7, 2025

In February, AI coding startup Windsurf was in talks to raise a big new round at a [\\$2.85 billion valuation](#) led by Kleiner Perkins, at double the valuation it hit six months earlier, sources told TechCrunch at the time. That deal didn't happen, according to a source familiar with the matter. Instead, news broke in April that the startup planned to sell itself to OpenAI for roughly the same valuation: [\\$3 billion](#).

While that deal famously fell apart, one bigger question remains: If the startup was growing that fast and attracting VC interest, why would it sell at all?

Insiders tell TechCrunch that for all the popularity and hype around AI coding assistants, they can actually be massively money-losing businesses. Vibe coders generally, and Windsurf in particular, can have such expensive structures that their gross margins are "very negative," one person close to Windsurf told TechCrunch. Meaning it cost more to run the product than the startup could charge for it.

This is due to the high costs of using large language models (LLMs), the person explained. AI coding assistants are particularly pressured to always offer the most recent, most advanced, and most expensive LLMs because model makers are particularly fine-tuning their latest models for improvements in coding and related tasks like debugging.

This is a challenge compounded by fierce competition in the vibe-coding and code-assist market. Rivals include companies that already have huge customer bases like Anywhere's Cursor and GitHub Copilot.

The most straightforward path to improving margins in this business involves the startups building their own models, thereby eliminating

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costs of paying suppliers like Anthropic and OpenAI.

“It’s a very expensive business to run if you’re not going to be in the model game,” said the person.



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But that idea comes with its own risks. Windsurf’s co-founder and CEO, Varun Mohan, ultimately decided against the company building its own model — an expensive undertaking, the person said.

In addition, model makers are already competing directly. Anthropic offers Claude Code and OpenAI offers Codex, for instance.

Selling the business was a strategic move to lock in a high return before it could be undermined by the very companies that supplied its AI, including OpenAI and Anthropic, which were also entering the AI coding market.

Multiple people believe that the same pressure on margins Windsurf faced could be impacting Anysphere, the maker of Cursor, as well as vibe coders like Lovable, Replit, and others.

“Margins on all of the ‘code gen’ products are either neutral or negative. They’re absolutely abysmal,” said Nicholas Charriere, founder of Mocha, a vibe-coding startup and back-end hosting solution serving small and medium businesses (SMBs). He added that he believes the variable costs for all the startups in the sector are very close, likely within 10% to 15% of one another.

Unlike Windsurf, Anysphere has been growing so fast that it intends to remain an independent company, having already [turned down acquisition offers](#), including, reports say, from OpenAI.

And Anysphere [announced in January](#) that it is attempting to build its own model, which could give it more control over its expenses. In July,

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When that will change remains to be seen. On Thursday, for instance, [OpenAI introduced](#) a new flagship model, GPT-5, with fees that are significantly less than its competitor, Anthropic's Claude Opus 4.1. And Anysphere [immediately offered](#) this model as a choice for Cursor users.

Anysphere has also recently changed its pricing structure to pass along the increased costs of running Anthropic's latest Claude model, particularly to its most active users. The move caught some of [Cursor customers by surprise](#), since they didn't expect additional charges on top of its \$20-per-month Pro plan. Anysphere CEO Michael Truell later apologized for unclear communication about the pricing change in a [blog post](#).

This is the rock and the hard place. Although Cursor is one of the most popular AI applications, having reached [\\$500 million in ARR in June](#), the company's user base may not be so loyal to the product if another company develops a tool that is superior to Cursor, investors say.

Anysphere didn't respond to a request for comment.

Given the competitive landscape and the costs, Windsurf's decision to get out may prove to be understandable. After the OpenAI deal fell through, the founders and key employees left to join Google in a deal that led to a [\\$2.4 billion payout](#) to key shareholders. The remaining business then [sold itself to Cognition](#).

While many, including prominent VCs, criticized Mohan for leaving approximately 200 employees without roles at Google, a source familiar with the deal insisted the acquisition actually maximized the outcomes for all employees.

Beyond Cursor, other AI coding tools are also among the fastest growing startups of the LLM generation, like Replit, Lovable, and Bolt, and all of them rely on model makers as well.

Additionally, if this extremely popular business sector, already generating hundreds of millions in revenue or more a year, has difficulty building on top of model makers, what might it mean for other, more nascent industries?



Marina Temkin

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Trump says Intel CEO Lip-Bu Tan must ‘resign immediately’

Ram Iyer — 6:03 AM PDT · August 7, 2025

Amidst heightening tensions with China, U.S. President Donald Trump on Thursday insisted that Intel’s CEO, Lip-Bu Tan, must step down, accusing Tan of harboring conflicts of interest.

“The CEO of INTEL is highly CONFLICTED and must resign, immediately. There is no other solution to this problem. Thank you for your attention to this problem!” Trump [wrote](#) on his social media platform, Truth Social.

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Trump did not share any evidence or details of why Tan may have conflicts of interest.

Trump’s post comes after Republican Senator Tom Cotton on Wednesday [wrote](#) to Intel’s board of directors asking about Tan’s alleged ties to China and his investments in the country, and raised concerns about his time leading Cadence Design Systems, which had a Chinese military university as a customer.

Tan, who [took over the helm in March](#), has been focusing on improving efficiency at the chipmaker, which has lost ground to companies like Nvidia and AMD in the AI chip race. Tan has since [laid off thousands of staff](#), spiked plans for [new manufacturing plants](#), and is trying to [sell non-core subsidiaries](#) as he tries to return the company to being an engineering-first venture.

Notably, Intel was a major part of the Biden administration’s CHIPS Act, promised [almost \\$8 billion](#) to set up manufacturing and packaging projects in facilities across [Arizona](#), [New Mexico](#), [Ohio](#), and [Oregon](#).

Intel did not immediately return a request for comment.

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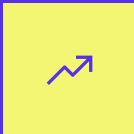


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Ram is a financial and tech reporter and editor. He covered North American and European M&A, equity, regulatory news and debt markets at Reuters and Acuris...

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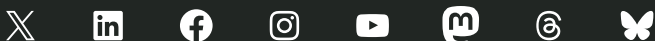
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